

Data

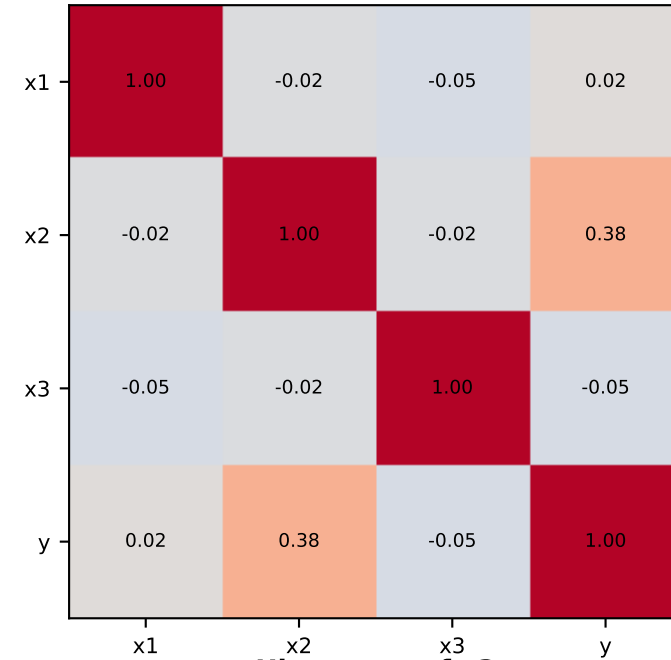
Sample Size & Structure

Training observations: 300
Test observations: 100
Predictors: x1, x2, x3
Response: y (binary)

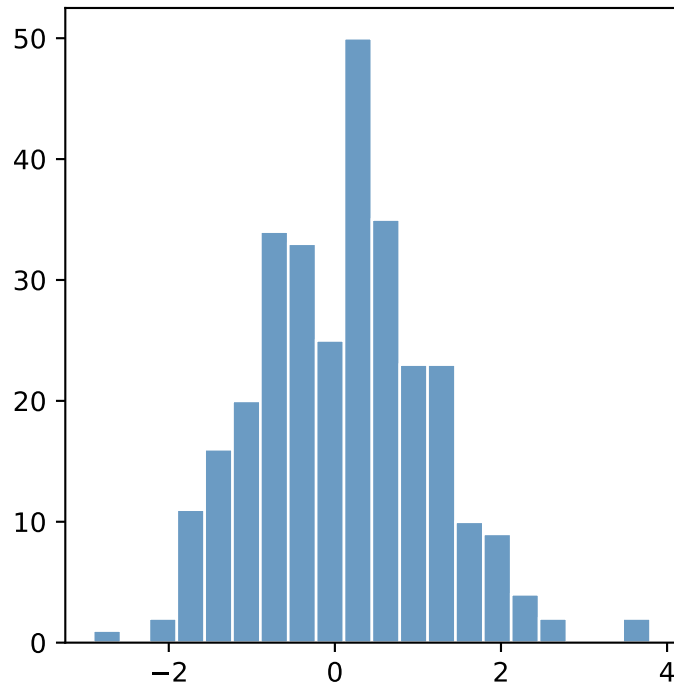
Summary Statistics

	x1	x2	x3	y
mean	0.11	-0.02	-0.06	0.49
std	1.03	0.98	0.99	0.50
min	-2.91	-2.49	-2.71	0.00
max	3.80	3.04	2.70	1.00

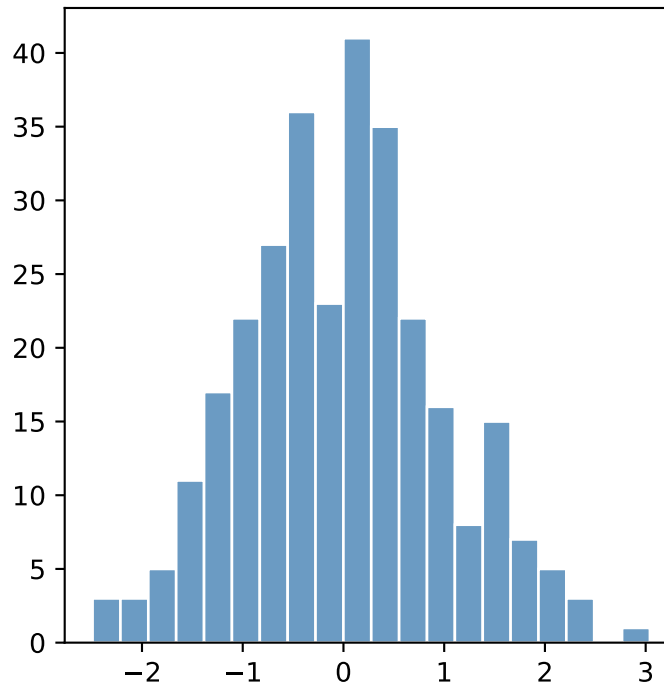
Correlation Heatmap



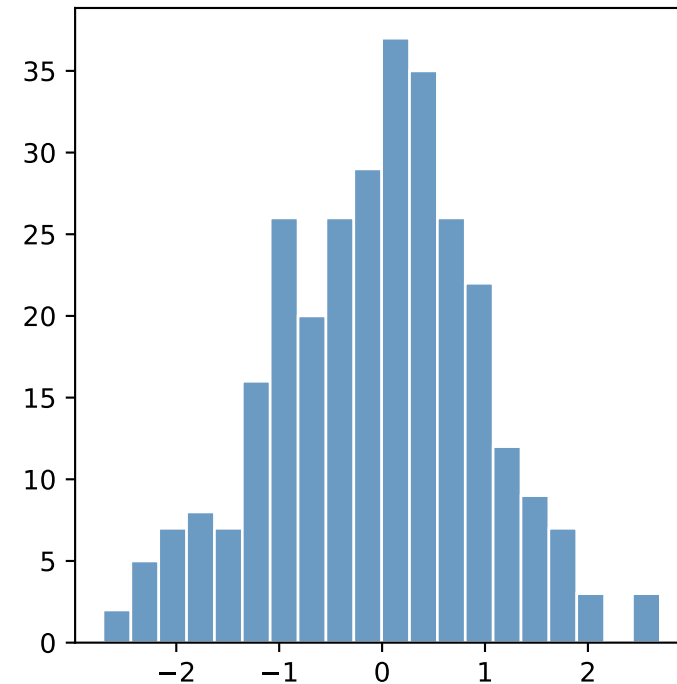
Histogram of x1



Histogram of x2



Histogram of x3



Model, Method and Results

Assumptions

Method & Libraries

- Model Assumptions:
- 1. Binary Outcome: y is strictly 0 or 1.
 - 2. Independence: observations are i.i.d.
 - 3. Linearity of Log-Odds: Addressed by adding degree-2 polynomial features.
 - 4. No severe multicollinearity.

- Method & Libraries:
- Logistic Regression (Logit)
 - Polynomial Feature Expansion (deg=2)
- Libraries Used:
- statsmodels.api (Logit modeling)
 - scikit-learn (Metrics & preprocessing)
 - pandas & numpy (Data handling)
 - matplotlib & seaborn (Visualizations)

Formula & Quantities

Coefficients Summary

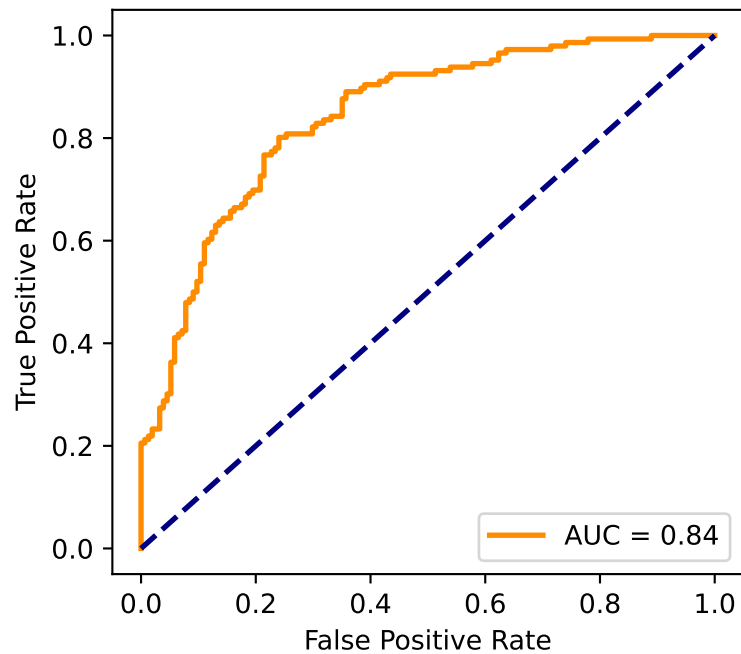
Logistic Regression Formula:

$$\begin{aligned} \text{logit}(p) = & -0.289 \\ & -0.070 \cdot x_1 \\ & +1.254 \cdot x_2 \\ & -0.396 \cdot x_3 \\ & +0.128 \cdot x_1^2 \\ & -0.109 \cdot x_1 \cdot x_2 \\ & +1.602 \cdot x_1 \cdot x_3 \\ & -0.015 \cdot x_2^2 \\ & +0.062 \cdot x_2 \cdot x_3 \\ & +0.195 \cdot x_3^2 \end{aligned}$$

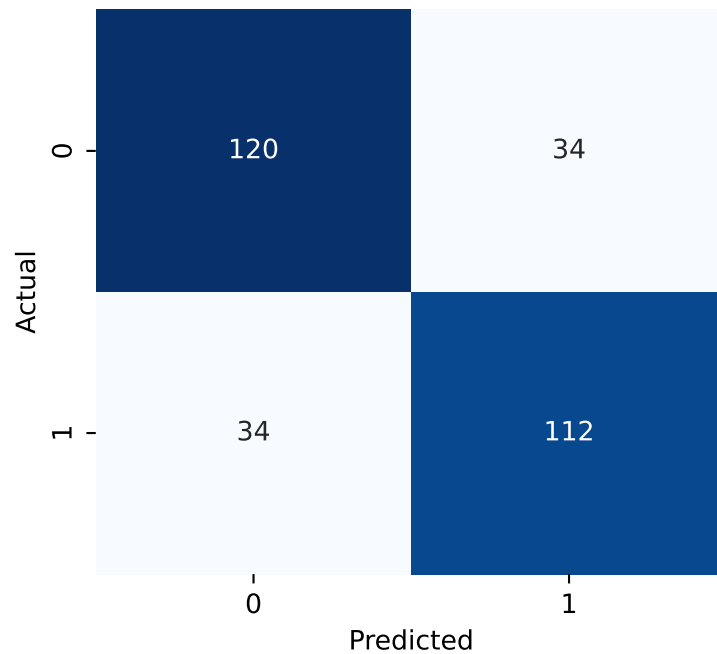
Term	Coef	p-value
const	-0.289	0.2072
x1	-0.070	0.6895
x2	1.254	0.0000
x3	-0.396	0.0370
x1^2	0.128	0.3024
x1 x2	-0.109	0.5731
x1 x3	1.602	0.0000
x2^2	-0.015	0.9243
x2 x3	0.062	0.7489
x3^2	0.195	0.1970

Visualization

ROC Curve



Confusion Matrix



Predicted vs Actual

